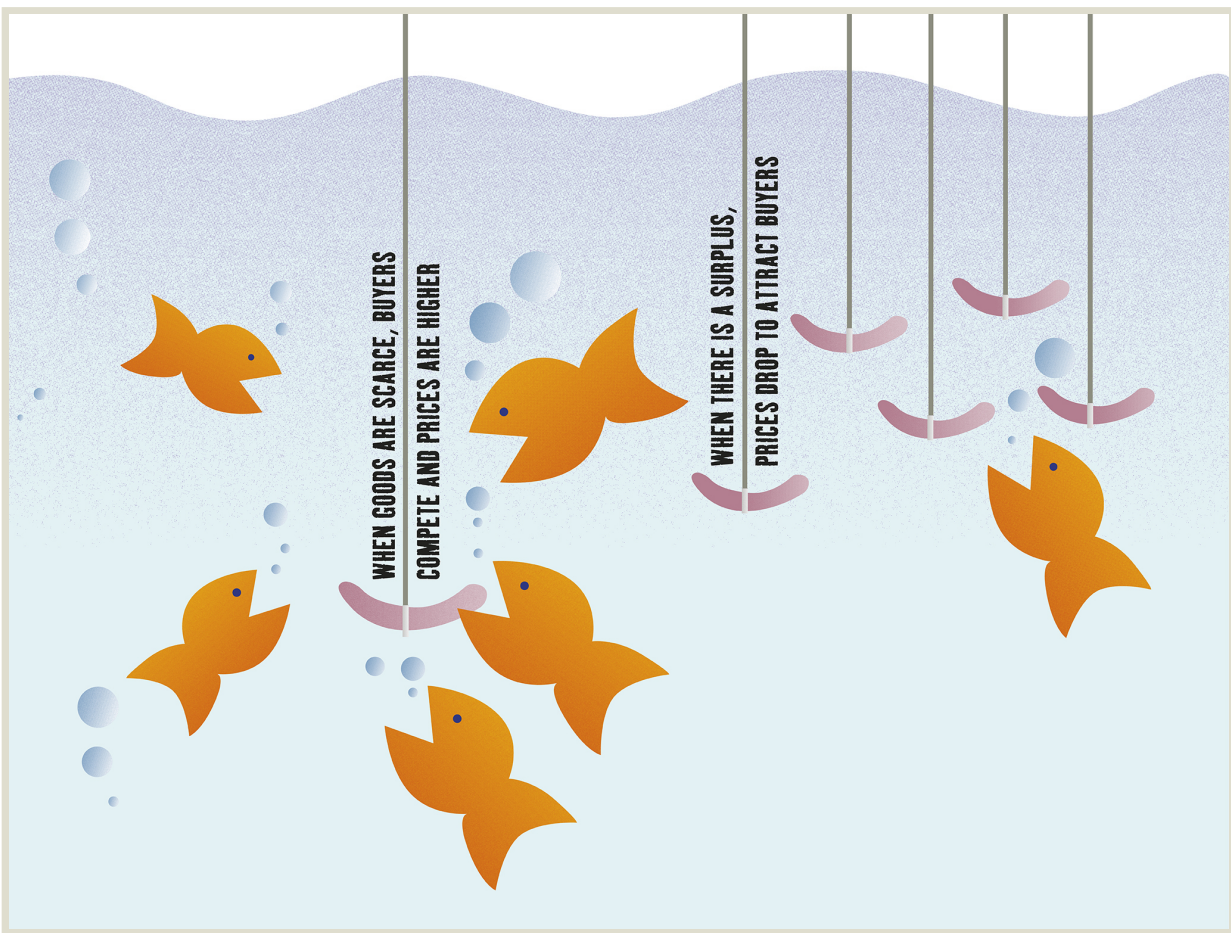


suppliers drop their prices to try to sell more. During the winter, the demand for flour is the same, but farmers don't have as much wheat as the mills need. Now the mills are prepared to pay more for the wheat, and the price goes up. The same is true of all goods and services. If demand remains the same but supply increases, the supplier will have a surplus, and prices will fall. If demand is the same and supply decreases, this results in a shortage, and higher prices. For goods that are in constant supply, it is changes in demand that affect the price: if demand falls, it causes a surplus, and prices fall, but if demand increases, there is a shortage and prices go up.



Price impact

It also works the other way around and prices affect supply and demand. If there is a surplus of goods, prices fall but lower prices make the goods more